

One Stop Mart: Business Performance Analysis

Management sought to understand whether the company was growing profitably and where future growth opportunities exist. This analysis covers sales, profits, products, customers, payment methods, and regional performance.



Business at a Glance

₹438K

Total Revenue

₹37K

Total Profit

8.44%

Profit Margin

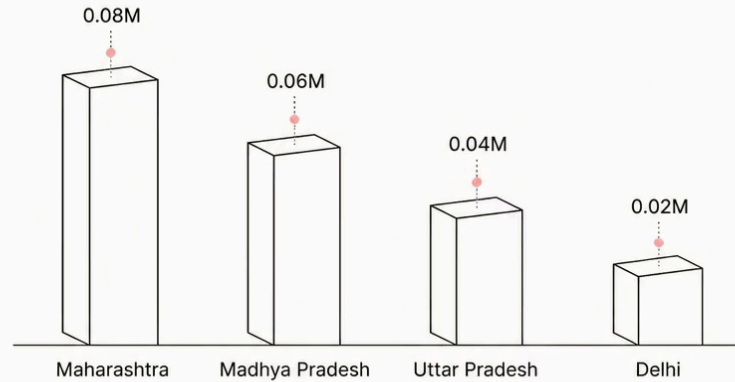
5,615

Units Sold

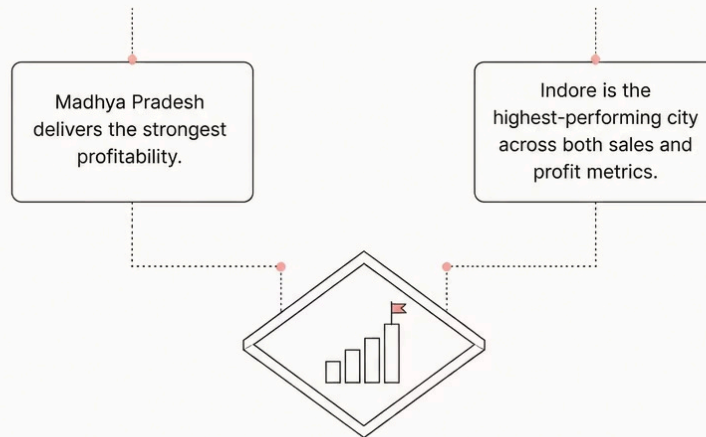
For every ₹100 earned, only ~₹8 is kept as profit

- ❏ Sales performance is encouraging, but the overall profit margin indicates room for improvement. Management should focus not only on increasing sales but also on improving margins.

A Few Locations Drive Most of the Business



Regional performance comparison: Maharashtra leads in sales revenue (0.08M), followed by Madhya Pradesh (0.06M), Uttar Pradesh (0.04M), and Delhi (0.02M).



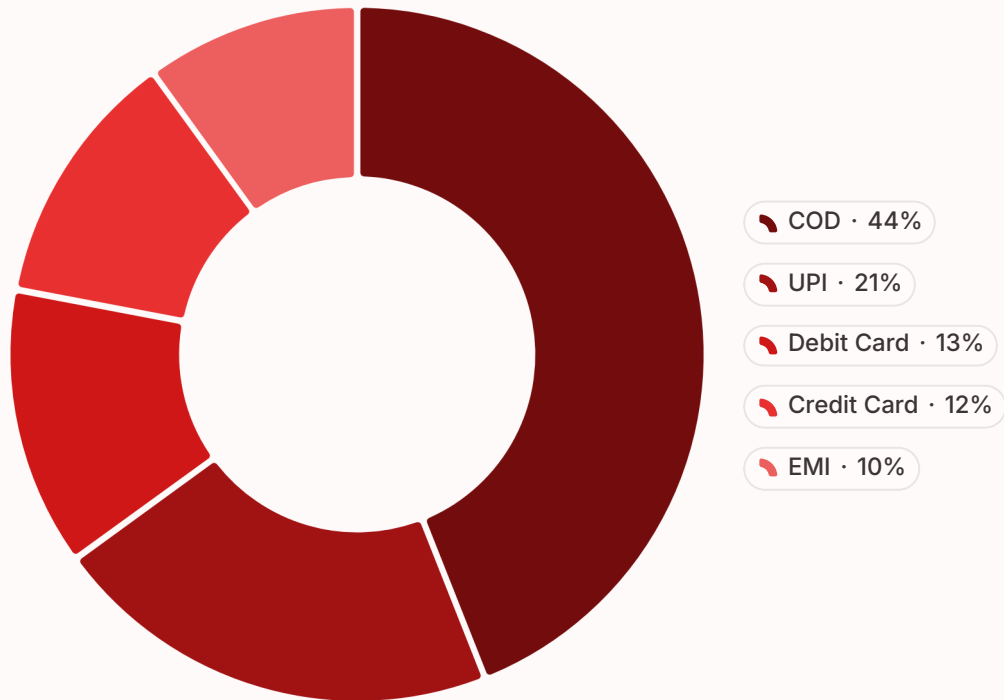
Key Regional Insights

- **Maharashtra** – largest share of sales revenue
- **Madhya Pradesh** – strongest profitability
- **Indore** – highest-performing city across both metrics

A significant portion of business success depends on a small number of markets.

Recommended Action: Replicate successful sales strategies from Indore and Madhya Pradesh in other regions.

Customers Still Prefer Cash on Delivery



Payment Method Distribution

Cash on Delivery dominates at **44%**, followed by UPI (21%), Debit Card (13%), Credit Card (12%), and EMI (10%). This highlights customer trust preferences and buying behavior.

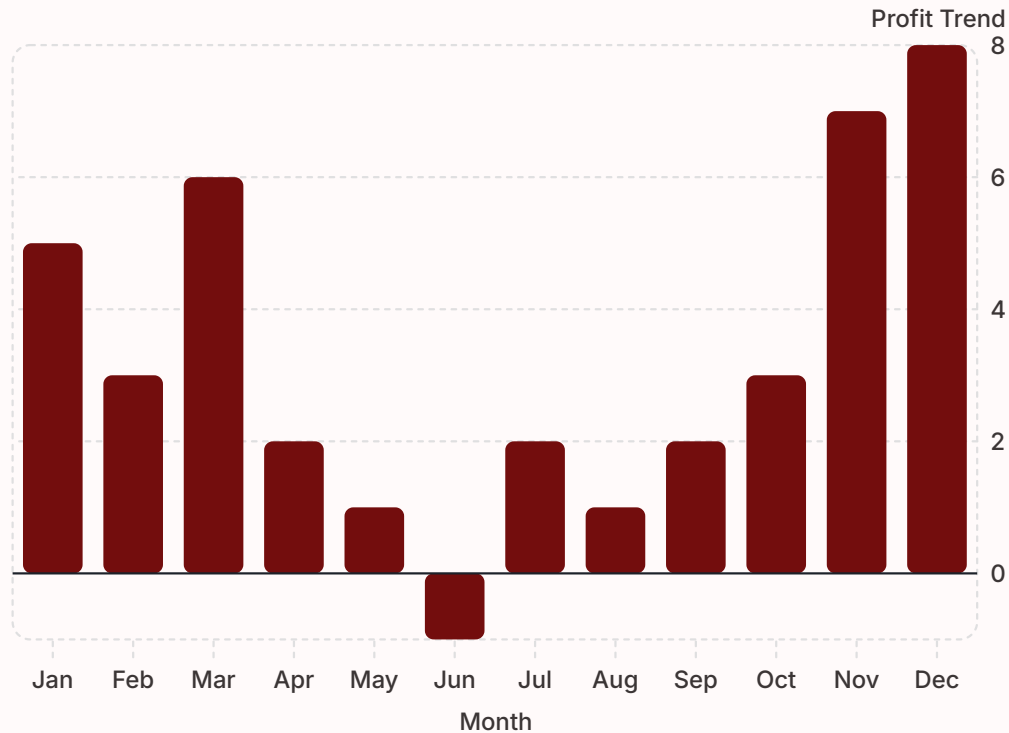


Business Impact: COD increases operational complexity and can lead to higher return rates and delayed cash flow.



Recommended Action: Encourage UPI and digital payment adoption through cashback offers and promotional incentives.

Profitability Fluctuates Throughout the Year



Seasonal Profit Trends

The business performs strongly during **January, March, and November**, with a peak in December. However, several months produce losses despite ongoing sales activity, suggesting seasonality, pricing issues, or inefficient promotional campaigns.



Revenue alone does not guarantee profitability.



Recommended Action: Investigate loss-making months and optimize promotional spending during those periods.

Strategic Recommendations

01

Improve Profit Margins

Focus on margin optimization, not just revenue growth

02

Expand High-Margin Categories

Increase investment in Clothing and profitable sub-categories like Printers and Bookcases

03

Replicate Regional Success

Scale Indore and Madhya Pradesh strategies to other markets

04

Fix Loss-Making Regions

Conduct a profitability review of Rajasthan and redesign pricing strategies

05

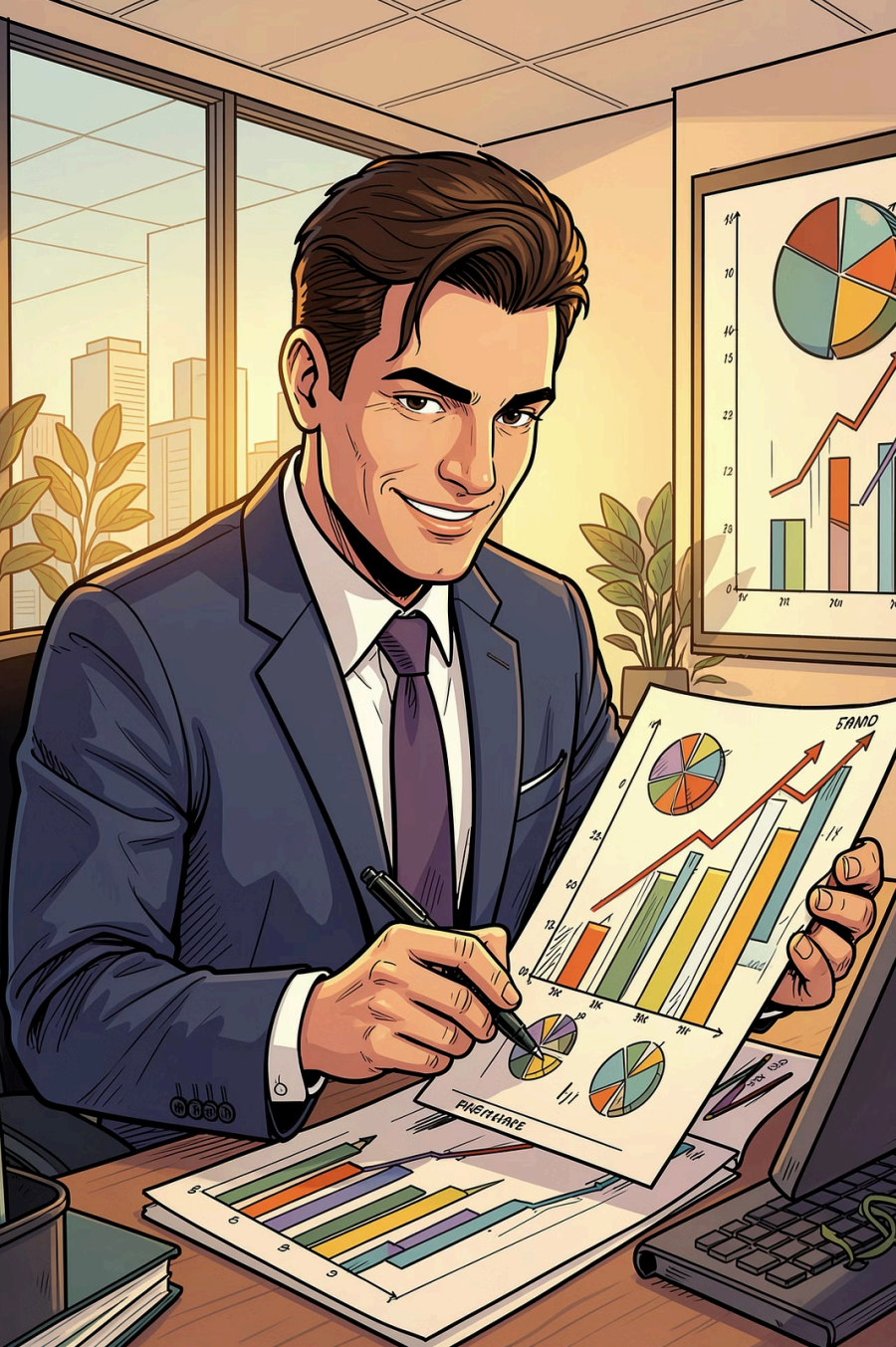
Encourage Digital Payments

Reduce COD dependency through UPI incentives and cashback offers

06

Optimize Seasonal Promotions

Investigate loss-making months and optimize promotional spending



Final Executive Message

The business is performing well in terms of revenue generation, but the next stage of growth should focus on **profitability optimization**.

By investing more in high-margin products, expanding successful markets, reducing loss-making operations, and improving payment efficiency, One Stop Mart can **significantly increase profit without requiring a proportional increase in sales**.